Reading a partially signed transaction

A partially signed transaction is a container for a transaction that is not finished yet. Each wallet that touches it adds what it knows, and nobody has to trust anybody else with private keys.

The roles

The creator proposes the inputs and outputs. The updater adds previous outputs, scripts and derivation paths so that signers can check what they are about to approve.

A hardware wallet can show the real fee before it signs, because the container carries the full previous outputs. That closed an attack in which a malicious computer lied about the amounts.